Customer Segmentation & Marketing Campaign Effectiveness

A DATA-DRIVEN CASE STUDY • PREPARED BY: DATA ANALYTICS TEAM

Executive Summary

This case study presents a comprehensive analysis of a retail company's customer base and marketing campaign performance using data from 2,212 customers. The central business question is: **"How can the company improve its marketing strategy using customer data?"** The analysis is structured across four objectives: understanding the customer base, identifying high-value customers, analyzing purchasing behavior, and evaluating campaign performance, leading to actionable recommendations.

Total Customers	Product Categories	Purchase Channels	Campaigns Analysed
2,212	6	4	6
Avg. Customer Income	**Avg. Annual Spend**	**Best Campaign Rate**	**Income-Spend Correlation**
$51,958	$607	15.05%	0.79

Objective 1 - Understanding the Customers

1.1 Age Distribution

Finding: Majority of customers are middle-aged (35-65 years old), highly concentrated around 40-45 years old.

Insight: The company serves Gen X and Baby Boomer customers rather than younger generations.

Recommendation: Messaging should reflect this older demographic. Use email, catalog, and in-store marketing rather than TikTok/Snapchat. Creative assets should feature relatable imagery for the 35-65 group.

1.2 Income Distribution

Finding: Average income is $51,958 (median $51,371). Most earn between $20k-$90k, with a small segment above $100k.

Insight: The company serves a balanced, predominantly middle-income base. The high-earning tail is a disproportionately valuable segment.

Recommendation: Lead with value and quality messaging for the core segment. Separately target the high-income segment with premium offers.

1.3 Education Level

Finding: Over 50% hold a graduation degree, and 90% have at least a graduation-level education. PhD/Masters make up 38%. Only 2.44% have basic education.

Insight: A highly educated customer base that researches purchases thoroughly and responds to data-driven info.

Recommendation: Use sophisticated, information-rich content emphasizing product quality, sourcing, and detailed benefits rather than simple discount promos.

1.4 Marital Status

Finding: ~65% are in a relationship (married/partner); 35% are single.

Insight: Most household purchasing decisions are shared, but the single segment is still substantial (>30%).

Recommendation: Include couple- and family-oriented messaging for the majority, with a dedicated content stream for single customers emphasizing personal indulgence.

Objective 2 - Identifying High-Value Customers

2.1 Income vs Total Spend

Finding: Strong positive correlation (0.79) between income and total spending.

Insight: Income is the single most powerful predictor of customer value.

Recommendation: Disproportionately allocate marketing budgets toward acquiring/retaining high-income customers.

2.2 Age vs Total Spend

Finding: Negligible correlation (0.12). High/low spenders are spread evenly across all ages.

Insight: Age is not a useful predictor of how much a customer will spend.

Recommendation: Do not use age as a primary targeting criterion for high-value campaigns; rely on income and parental status instead.

2.3 Education vs Total Spend

Finding: PhD holders spend ~$674, Graduation ~$622, Masters ~$610, 2N Cycle ~$499, and Basic ~$82.

Insight: Education strongly correlates with spending due to its tie to earning potential.

Recommendation: Target PhD, Graduation, and Master-level customers for high returns. Deprioritize Basic education customers for high-value promos.

2.4 Parental Status vs Total Spend

Finding: Child-free customers spend an average of $1,104 compared to only $408 for customers with children (nearly 3x more).

Insight: Having children reduces discretionary spending. Child-free customers are consistently the highest-value segment.

Recommendation: Focus premium/high-value product campaigns primarily on child-free customers. Use family-oriented bundle deals for parents.

Objective 3 - Analysing Purchasing Behaviour

3.1 Product Performance

Product Category	Average Spend	Share of Revenue
Wines	$305	50.3%
Meat	$167	27.5%
Gold / Fish / Sweets / Fruits	$26 - $44	~4% - 7% each

Insight: Two clear revenue pillars: wine and meat (accounting for ~78% of revenue). Others contribute minimally.

Recommendation: Concentrate promotional investment on wine and meat. Bundle underperforming categories (fruits/sweets) with wine/meat rather than running standalone campaigns.

3.2 Purchase Channel Preference

Finding: Store (5.81 avg purchases) > Web (4.09) > Catalog (2.67) > Deals (2.32).

Insight: Customers strongly prefer physical store shopping, but web is also substantial. Catalog is least preferred.

Recommendation: Maintain in-store experience investment, increase web channel investment, and review/redirect catalog spend to digital alternatives.

Objective 4 - Evaluating Campaign Performance

4.1 Campaign Acceptance Rates

Finding: Campaign 2 was worst (1.36%). Campaigns 3, 4, 5 averaged ~7%. The Last Campaign was a standout success at 15.05%.

Insight: Overall rates are low indicating broad targeting, but the upward trend to 15% shows approach improvements.

Recommendation: Conduct a debrief on the last campaign to identify success factors and replicate them. Review Campaign 2 to avoid repeating mistakes.

4.2 Who Responds to Campaigns?

Characteristic	Non-Responders (No)	Responders (Yes)
Median Income	~$47,000	~$65,000
Median Total Spend	~$300	~$1,000
Median Age	~45 years	~45 years
Family Size	1 (has children)	0 (no children)

Insight: Responders perfectly mirror the high-value profile (high income, high spend, child-free). They are the most receptive to marketing.

Recommendation: Use a dual-targeting approach focused on high-income, child-free customers to maximize both acceptance rates and revenue per campaign.

Objective 5 — Strategic Recommendations

1. **Target High-Income Customers First:** Income (0.79 correlation) is the strongest predictor of value. Disproportionately concentrate marketing budgets on customers earning >$70,000 for the highest ROI.
2. **Prioritise Child-Free Customers for Premium Campaigns:** Child-free households spend almost 3x more ($1,104 vs $408). Target them for premium launches; shift to bundle/value deals for the parent segment.
3. **Double Down on Wine and Meat Promotions:** Wine ($305) and Meat ($167) generate ~78% of revenue. Bundle underperforming categories (sweets/fruits) alongside these drivers to boost cross-category sales.
4. **Invest in Store Experience and Digital Channels:** With Store (5.81) and Web (4.09) leading purchases, maintain in-store and web activations while heavily reducing or redirecting declining catalog marketing budgets.
5. **Replicate the Last Campaign's Success:** The last campaign's 15.05% rate was a massive breakthrough. Identify the targeting, timing, and creative elements that worked and integrate them into future activities.

Conclusion

The company should focus its marketing investment on **high-income, educated, child-free customers** who prefer wine and meat products and shop primarily in-store and online. These customers are not only the highest spenders, but also the most responsive to campaigns, making them the highest-return segment.

Summary of Findings

Area	Key Finding	Priority
Income	0.79 correlation with spend	HIGH
Children	Child-free customers spend 3x more	HIGH
Products	Wine + Meat = 78% of revenue	HIGH
Channels	Store #1, Web #2, Catalog declining	MEDIUM
Campaigns	Last campaign best at 15% — replicate it	HIGH
Target	High-income, child-free = most receptive	HIGH